

26VECV01762 26VECV01762

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26VECV01762 Gamliel v Mercedes

The defendant's motion to compel arbitration is granted as to plaintiffs Itay Gamliel and Reality Development, Inc. The entire action is stayed pending arbitration. The court sets an Arbitration Status Conference on _____ at 8:30 a.m. Appearance is mandatory unless the case has been dismissed or judgment has been entered.

Discussion

Defendant moved to compel arbitration based upon the arbitration provision found in the Motor Vehicle Lease Agreement (Lease) entered between Plaintiff and Non-Party/Lessor Mercedes Benz Encino (MB Encino) entered on October 2, 2024. (Sybil Leung Decl., Exh. 1.) With the submission of the Lease, Defendant met their initial burden to show the existence of an arbitration agreement. The burden shifted to Plaintiff to show by a preponderance of evidence that the arbitration agreement is unenforceable. Plaintiff did not submit a declaration to dispute entry into the Lease. Because Plaintiff did not submit evidence to dispute entry into the Lease, the Lease's arbitration agreement, as an initial matter, is seen to be enforceable.

Defendant argued that they have standing to enforce the arbitration agreement as a third-party beneficiary. When reviewing third party beneficiary doctrine, it must be shown that the contracting parties intended to benefit a third-party beneficiary by applying a "three-part test": (1) "the third party would in fact benefit from the contract"; (2) "a motivating purpose of the contracting parties was to provide a benefit to the third party"; and (3) permitting the third party to enforce the contract

“is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830 (Goonewardene).) All three elements must be satisfied to permit the third-party action to go forward. (Id.) The Court finds that the arbitration agreement in the Lease directly benefited Defendant because Defendant is expressly named as a third-party that can enforce the arbitration agreement. Further, the fact that Defendant is expressly named in the arbitration agreement shows that the parties – MB Encino and Plaintiff – had a motivating purpose to benefit Defendant. As to the third element, the fact that Defendant is expressly named as a party that can enforce arbitration shows that allowing Defendant to enforce the arbitration agreement is consistent with the objectives of the arbitration agreement and the reasonable expectations of the parties. Defendant sufficiently showed that they had the right to enforce the arbitration agreement, as a third-party beneficiary.

Plaintiff argued that the scope of the arbitration agreement does not include the statutory warranty claims alleged in the FAC. The claims alleged in this action fall within the scope of the arbitration agreement because the scope of the arbitration agreement included any claim/dispute, whether in contract, tort or otherwise which arises out of the credit application, the lease, or any resulting transaction or relationship arising out of the lease. Due to this broad language as to the scope of the arbitration agreement, the claims in the FAC are covered by the arbitration agreement. The Court disagrees with Plaintiff that the scope of the arbitration agreement does not include the alleged warranty claims.

Plaintiff argued that the Court should follow Ford Motor Warranty Cases/Ochoa v. Ford Motor Company [And four other cases] (2023) 89 Cal.App.5th 1324 (FMWC). However, the FMWC opinion relied upon facts distinguishable from the instant case. The arbitration agreement in FMWC did not expressly name the manufacturer as a third-party beneficiary in the arbitration agreement, whereas the arbitration agreement in the instant case expressly named Defendant as a third-party beneficiary. Because of the factual distinction, the Court finds that FMWC is inapplicable.

The motion to compel arbitration is GRANTED based upon the express third-party beneficiary status of Defendant.

Defendant’s request to stay the action is also

persuasive pursuant Code of Civil Procedure, section 1281.4 and 9 U.S.C. sec.
3.

The motion to stay the action pending arbitration is
GRANTED.

[Note: Plaintiff Reality Development, Inc. was added to the case and
motion by stipulation and order. References to "Plaintiff" apply to both plaintiffs.

IT IS SO ORDERED, CLERK TO GIVE NOTICE.